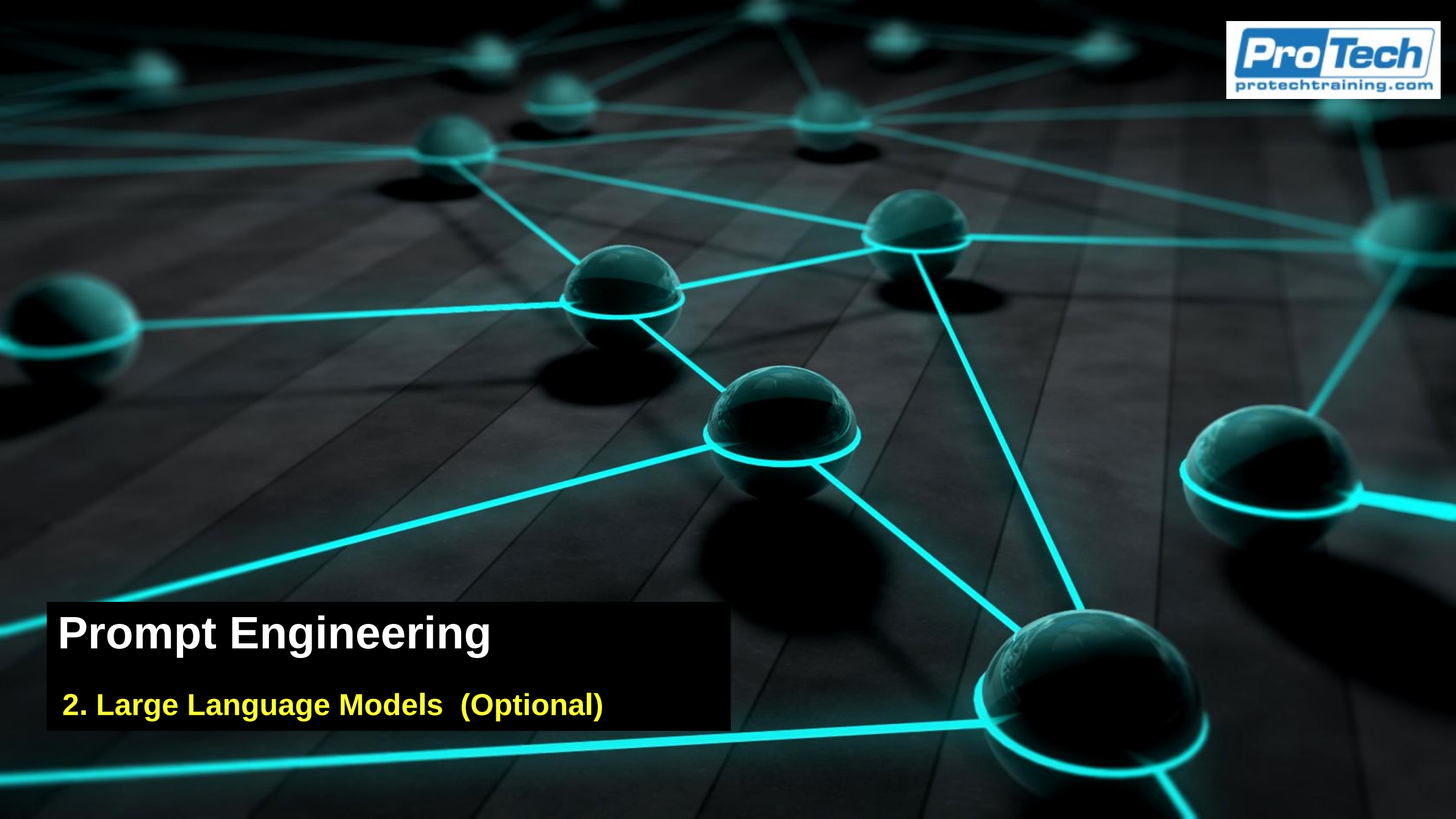




Prompt Engineering

2. Large Language Models (Optional)

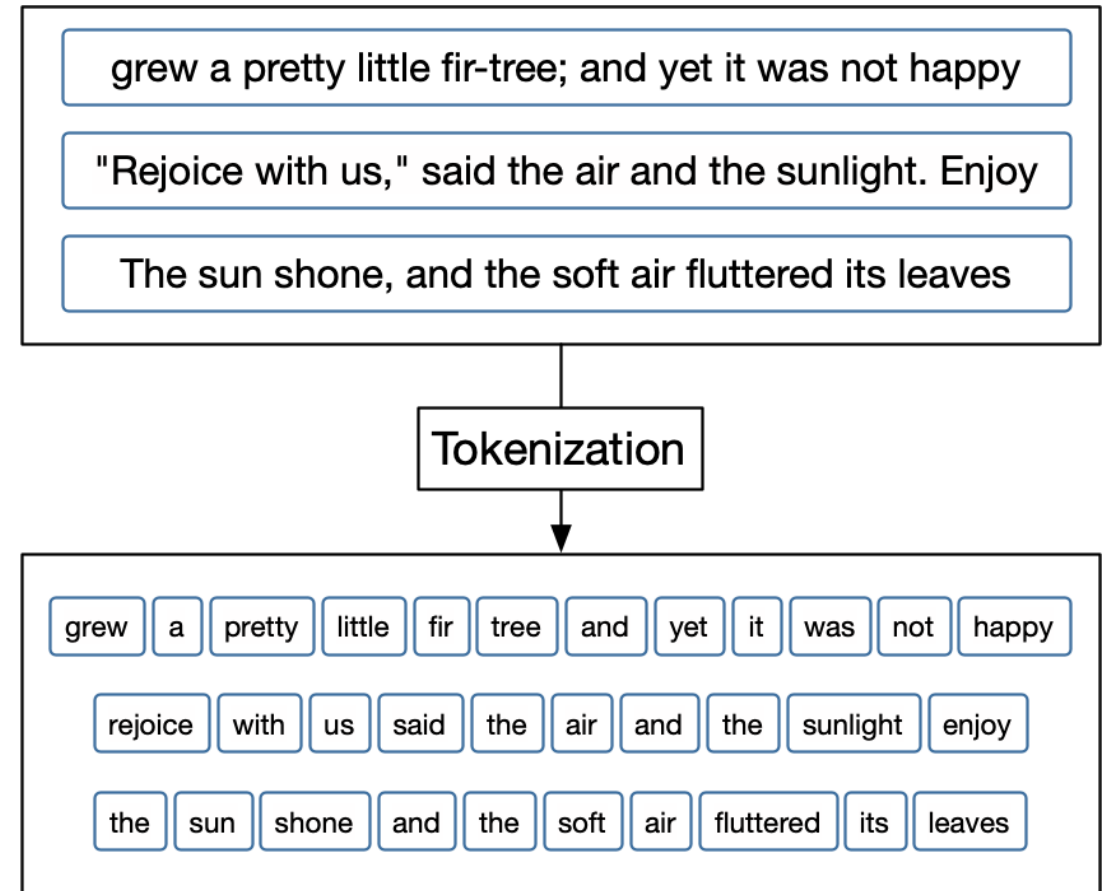
Text Processing

- This includes code
- Machine learning algorithms use linear algebra, statistical methods, and other mathematical techniques to train models
 - Non-numeric training data has to be converted into a numerical form
 - Language data is a string of characters
 - Tokenization converts the string of characters into a string of words
 - Vectorization converts tokens into numerical vectors called parameters



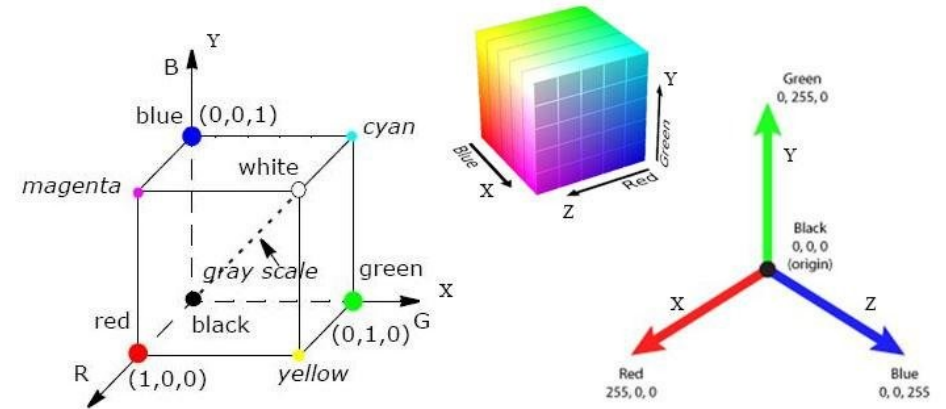
Tokenization

- Tokenization is the process of splitting text into smaller units called tokens
 - Tokens can be
 - Words
 - Subwords
 - Characters
 - Special symbols
 - Example
 - Text : “Transformers are powerful.”
 - Tokenized: ["Transformers", "are", "powerful", ".".]



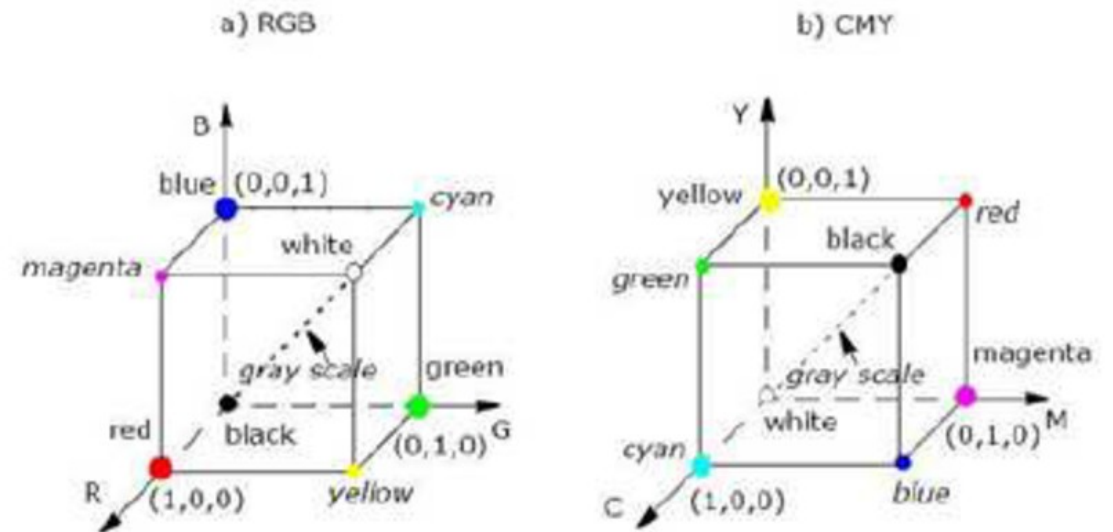
Vector Embedding

- Because LLMs work on numbers, the tokens need to be converted into vectors
- Color terms example
 - Can be turned into vectors with three dimensions (red, green, blue) with values from 0 to 255
 - We can then determine similarity of colors by using vector distances
 - Orange (255,165,0) is closer to red (255,0,0) than blue (0,0,255)



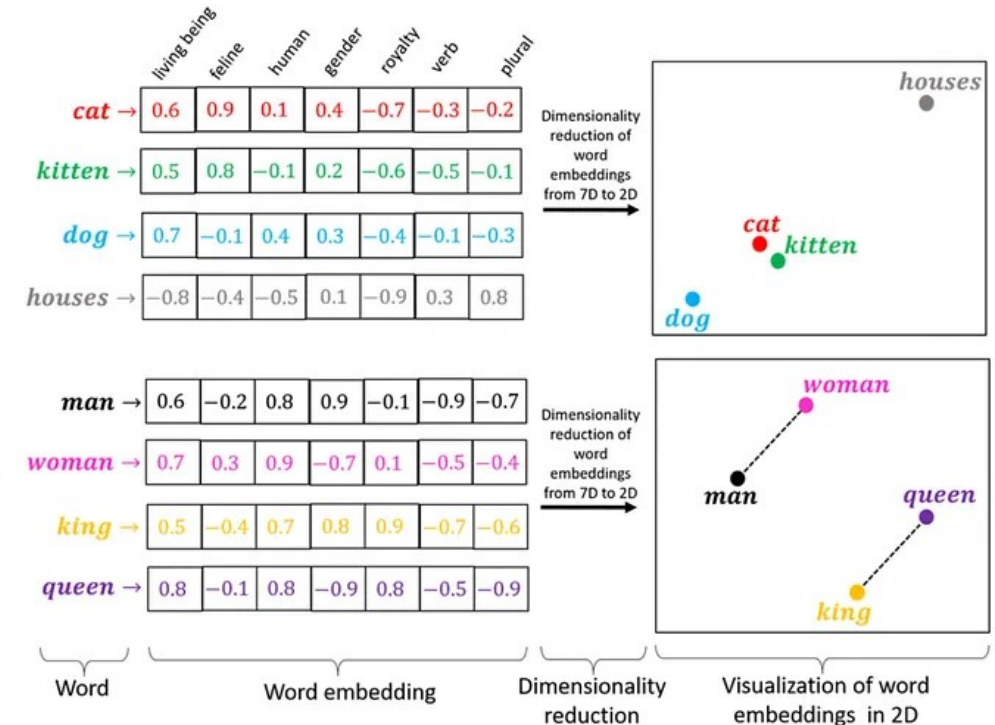
Vector Embedding

- Color terms are arbitrary
 - There are different ways of vectorizing colors, most use three dimensions
 - Instead of red/green/blue, we could use magenta/yellow/cyan
- In this case, the dimension or parameters are motivated by the way we see color



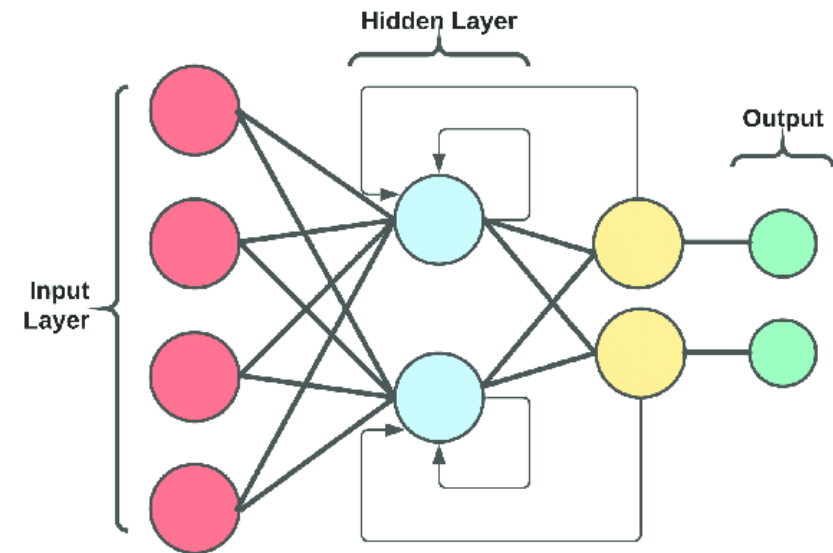
Vector Embedding

- We could do something similar for other words by choosing a set of meaningful dimensions or parameters
- The selection of parameters is usually pre-selected in classical machine learning
 - Usually those that should be most useful in building the model
 - For example, income is more useful for predicting credit worthiness and shoe size is less useful



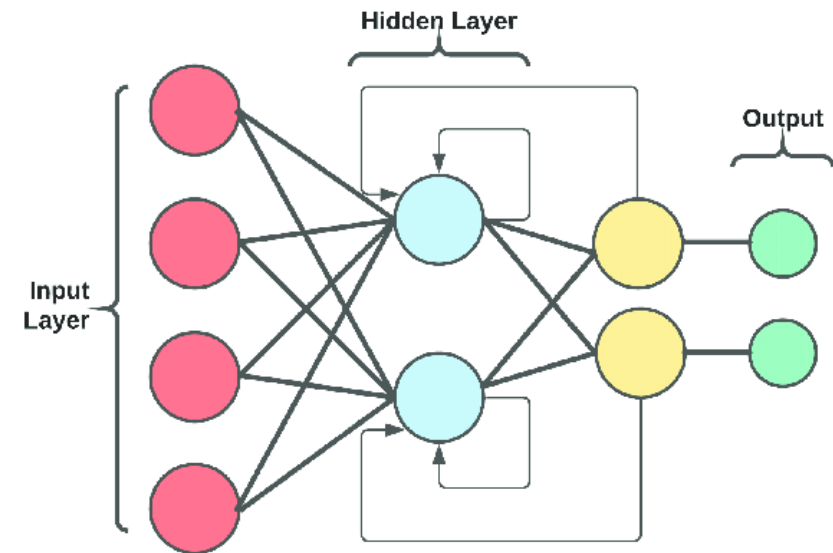
Choosing Features

- Problem, choosing the right features
- Solution: Use a neural net
 - It will do automatic feature extraction based on patterns in the data
 - But the choice of features is opaque to us
 - The more features we use, the better the performance
 - Most LLMs use billions or trillions of features



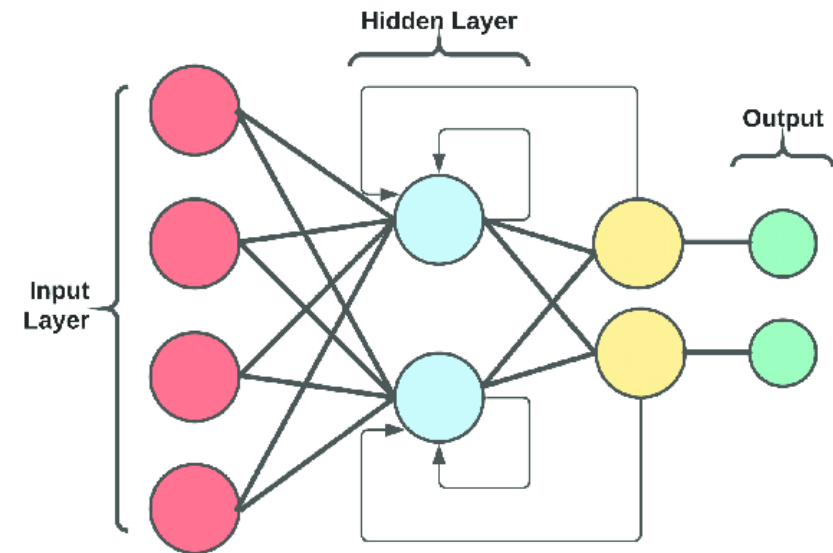
Processing Text

- Processing text is a fundamentally different problem than processing images
 - Images have fixed dimensions (224×224 pixels)
 - Text varies in length from short phrases to long documents
- Neural networks work best with
 - Fixed-size inputs
 - Independent feature vectors
- Text is
 - Ordered
 - Context-dependent
 - Potentially very long



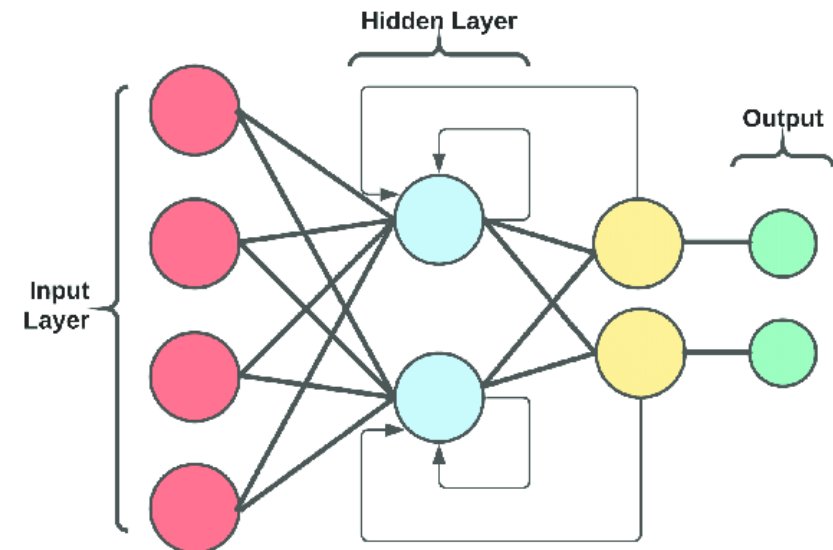
Processing Text (or Code)

- Language meaning often depends on distant words
- Example
 - “The book on the table near the window that we bought yesterday is mine.”
 - The word “is” relates to “book,” not “window”
- Early models struggled to
 - Remember information from far back in the sequence
 - Maintain context across long spans
 - This is called the long-range dependency problem



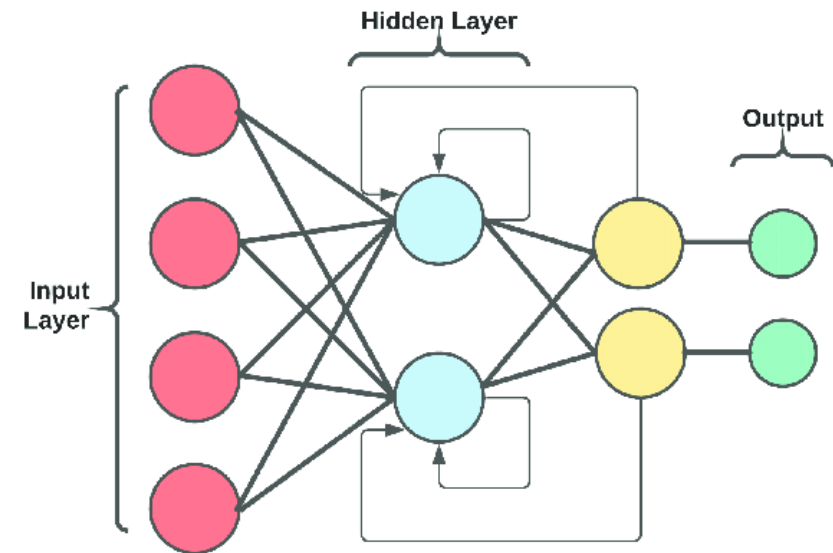
Processing Text (or Code)

- Text is symbolic
 - Words are discrete tokens
 - No natural numeric representation
 - Vocabulary can be extremely large
- Neural networks require continuous numerical input
 - That means that text must first be converted into vector embeddings
 - Early vector embeddings were limited in capturing context if there were too few dimensions



Processing Text (or Code)

- Words change meaning based on context
 - “Bank” (river vs financial)
 - “Apple” (fruit vs company)
- Early models
 - Used static word embeddings
 - e.g., Word2Vec, GloVe
 - Used the same vector for a word regardless of context
 - There was no dynamic contextual understanding



Transformers

- Transformers, instead of processing one word at a time, look at all the words at once
- This enabled
 - Full parallelization
 - Better long-range reasoning
 - Massive scalability
 - Better performance on large datasets
- Transformers were the enabling technology for LLMs

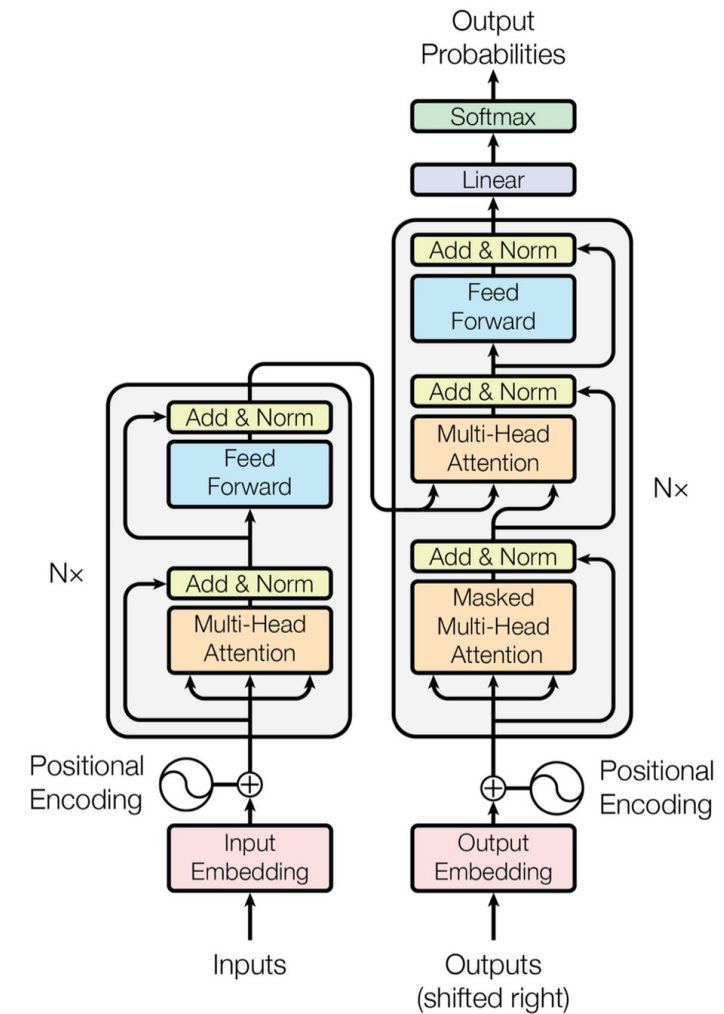
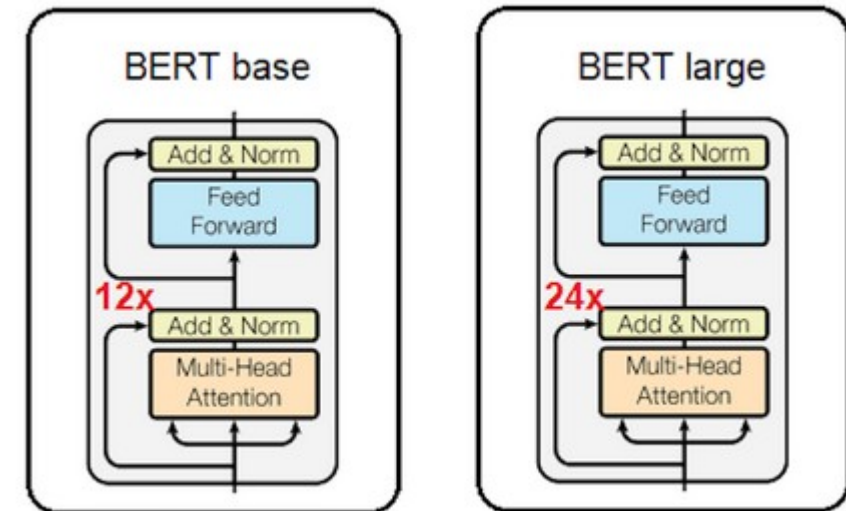


Figure 1: The Transformer - model architecture.

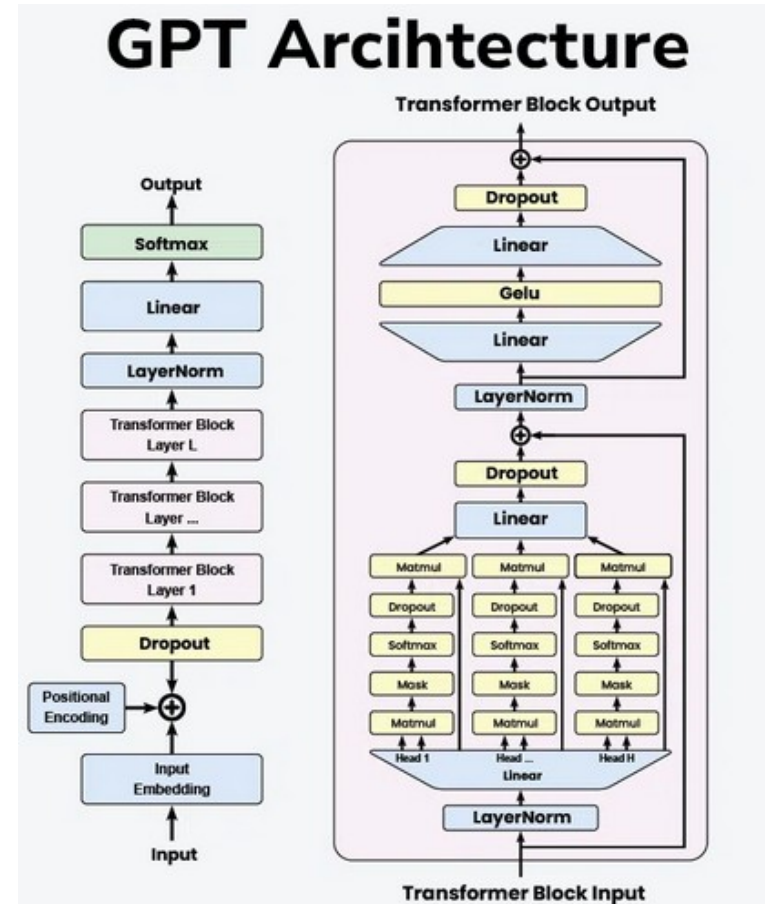
Transformer Architectures

- Encoder Only
- BERT
 - Bidirectional Encoder Representations from Transformers
 - Transformer-based model designed for language understanding, not text generation
- Introduced by Google in 2018 and marked a major breakthrough in NLP
- Produces contextual embeddings that can be fine-tuned for tasks like classification, question answering, and search.



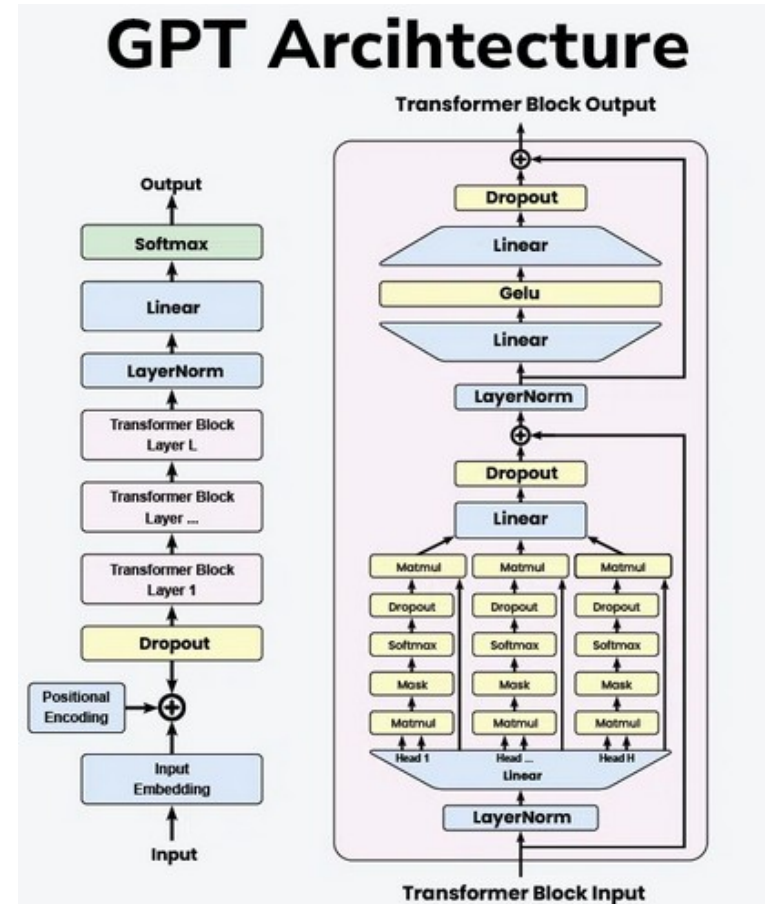
Transformer Architectures

- Decoder Only
- GPT
 - Generative Pre-trained Transformer
 - Decoder-only transformers are the architecture behind
 - GPT models
 - LLaMA
 - Claude
 - Most modern Large Language Models
 - Optimized for text generation
 - Predict the next token given all previous tokens
 - They generate text one token at a time
 - Either language or program code



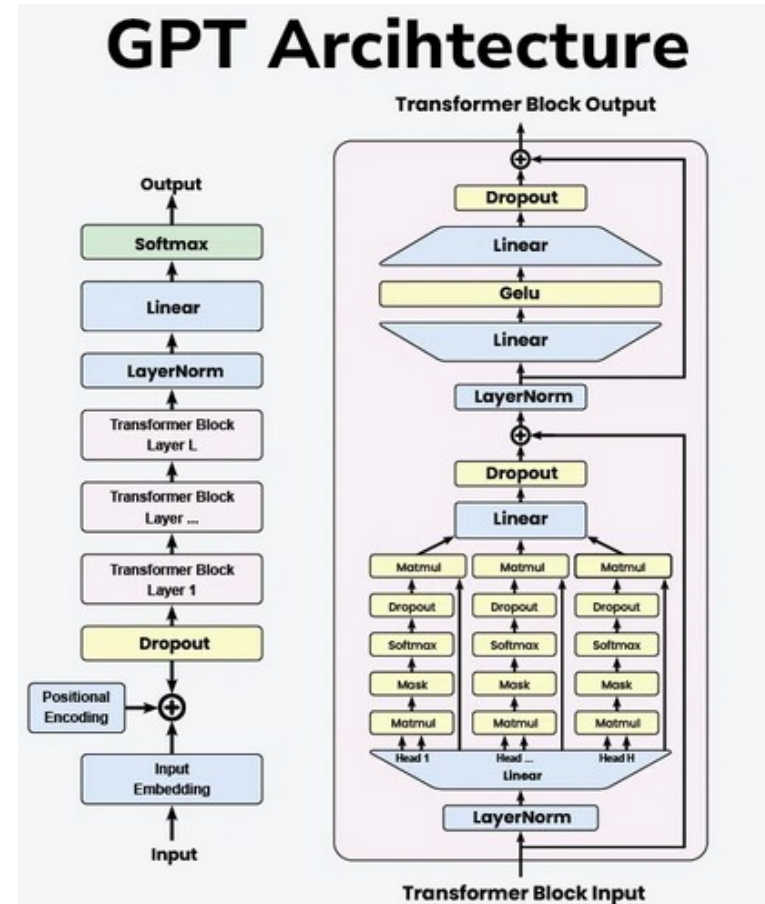
Transformer Architectures

- At inference time
 - Input prompt is tokenized
 - Model processes full prompt
 - Outputs probability distribution over vocabulary
 - One token is selected
 - Token is appended
 - Repeat
- This creates fluent, coherent text



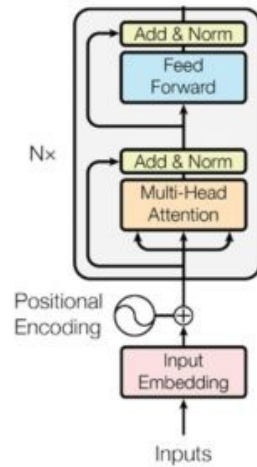
Transformer Architectures

- Decoder-only models work well for
 - Text generation
 - Code generation
 - Creative writing
 - Dialogue
 - Reasoning
 - In-context learning
- They can simulate
 - Classification
 - Translation
 - Summarization
 - Question answering
- All via prompting

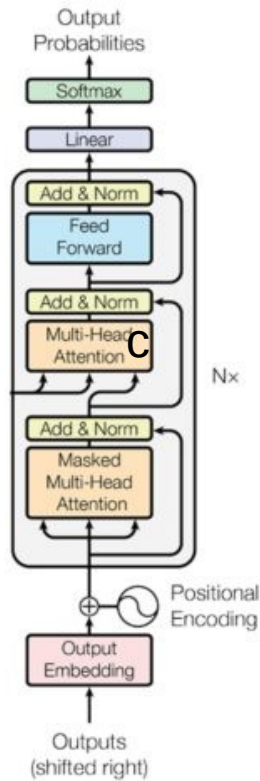


Transformer Architectures

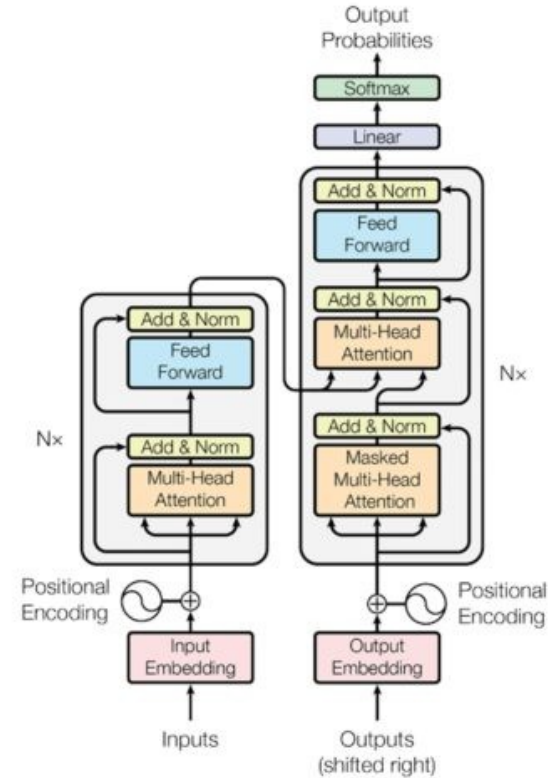
Encoder-only



Decoder-only



Encoder-Decoder



Training LLMs

- Pretraining
 - The model learns general language understanding from a vast corpus of text data
 - This often uses unsupervised learning techniques
 - Produces a base of foundation model
- Fine-tuning
 - Model is further trained on specific tasks or domains, adapting its knowledge to particular applications
 - For example, Claude code and copilot are trained on code
- Objective function
 - During training, the model aims to minimize a loss function, typically the difference between its predictions and the actual text



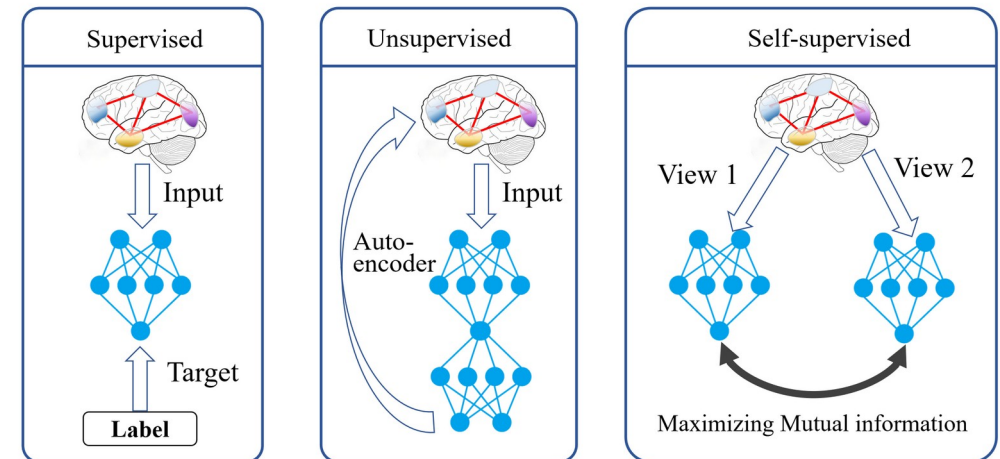
Training LLMs

- First and largest phase
 - Where the model learns
 - Grammar
 - Syntax
 - General world knowledge
 - Patterns of reasoning
 - Statistical structure of language
- Pre-training is usually done on
 - Massive internet-scale text corpora
 - Books, articles, code, websites, etc.
 - Trillions of tokens



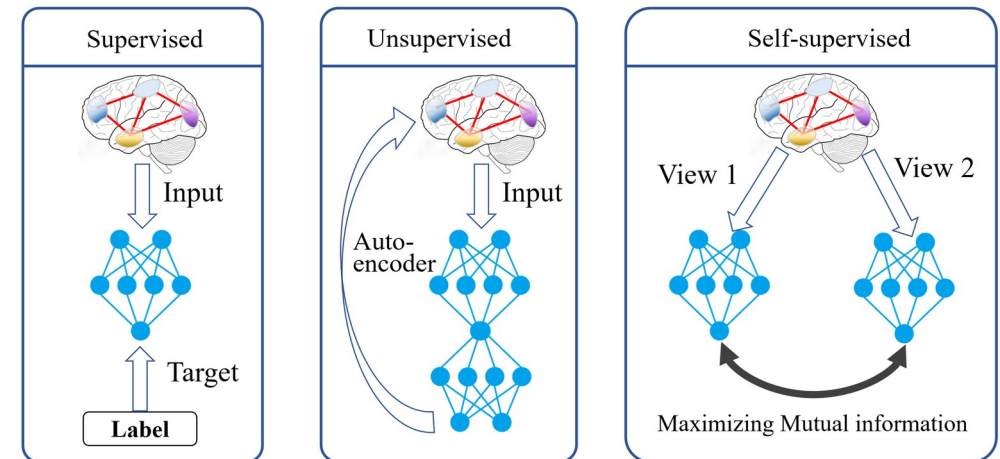
Training LLMs

- First and largest phase
 - Where the model learns
 - Grammar
 - Syntax
 - General world knowledge
 - Patterns of reasoning
 - Statistical structure of language
- Pre-training is usually done on
 - Massive internet-scale text corpora
 - Books, articles, code, websites, etc.
 - Trillions of tokens



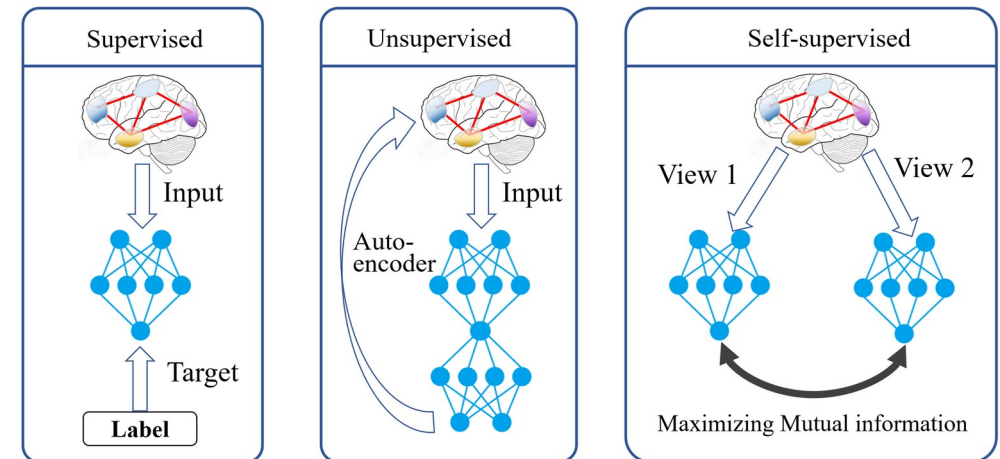
Training LLMs

- Most LLMs are trained using next-token prediction
 - Given previous tokens, predict the next token
 - Example input
 - “The capital of France is”
 - The model predicts:
 - “Paris”
- Called self-supervised learning
 - The training right answer comes from the data itself
 - No human labels are needed



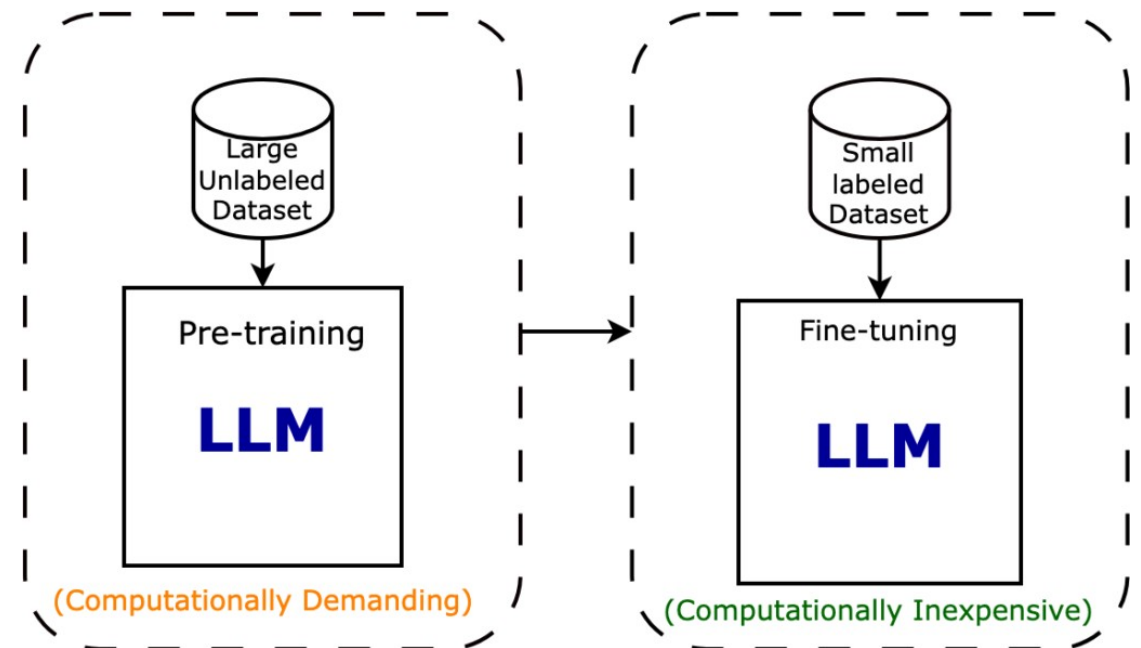
Training LLMs

- Although simple, this objective forces the model to learn
 - Language structure
 - Factual knowledge
 - Commonsense reasoning
 - Code patterns
 - Even some reasoning chains
- To predict the next word well, the model must understand context



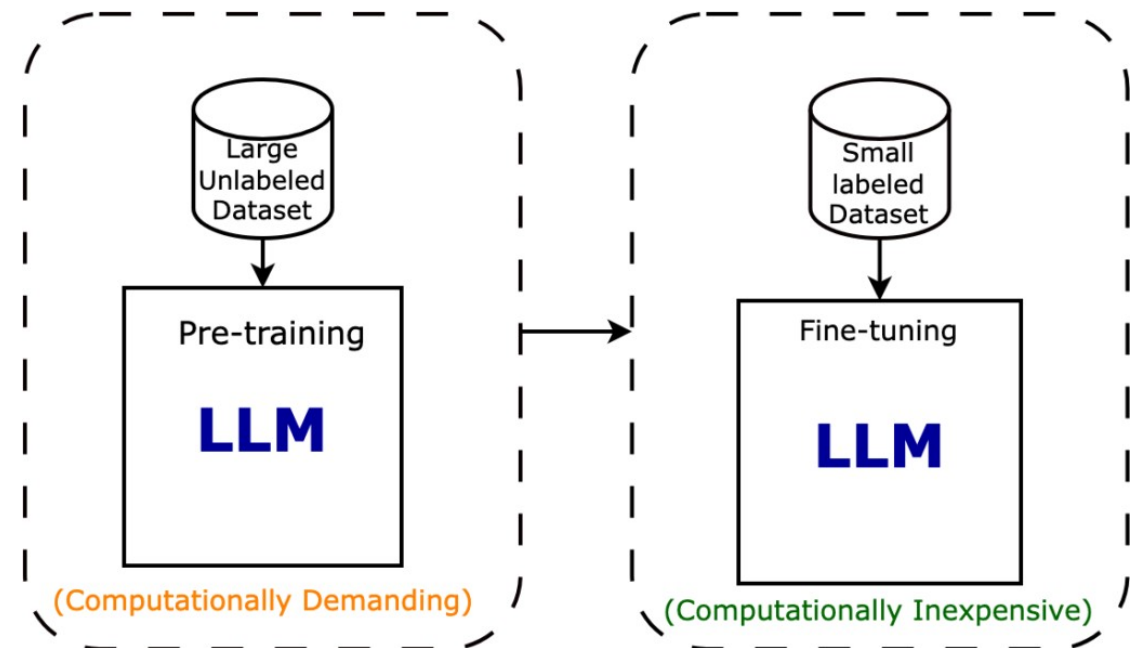
Base Model

- A base model is
 - Fully trained on massive text data
 - Not fine-tuned to follow instructions
 - Not optimized for safety or alignment
 - Not designed specifically for chat interactions
- It is optimized to model the statistical patterns of language
- When trained on large code bases
 - It learns statistical patterns that occur in code



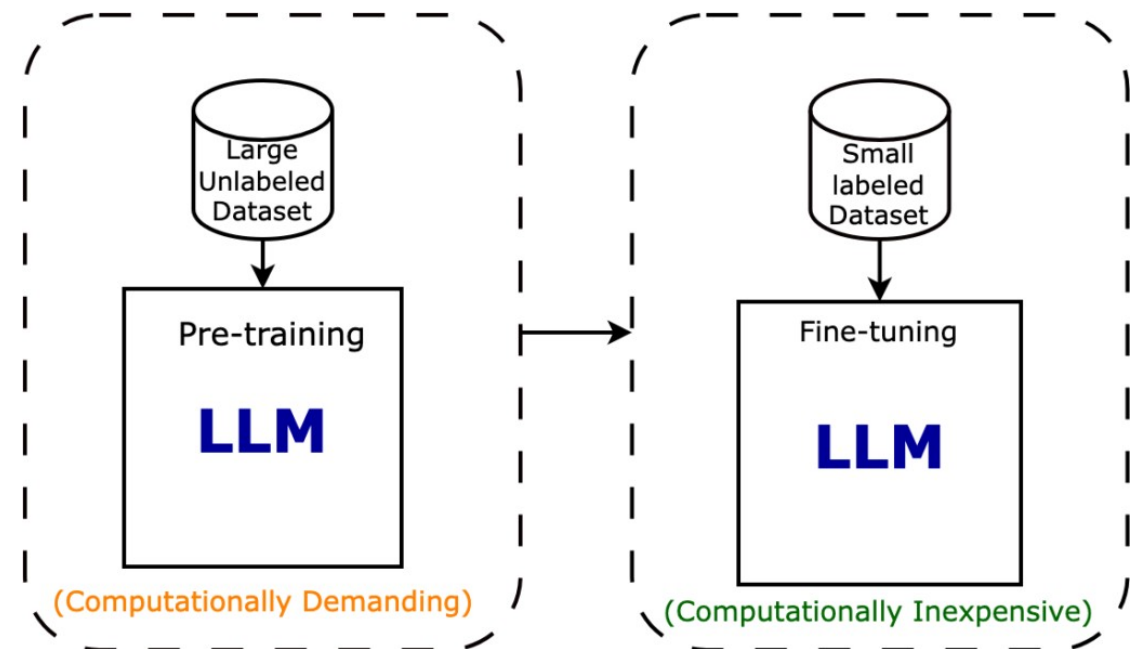
Base Model

- A base model is not “chat ready”
- Prompt: “Explain quantum mechanics”
 - A base model might
 - Continue like a textbook
 - Change tone mid-way
 - Provide incomplete structure
 - Produce unsafe or unfiltered content
- It has no alignment, which is
 - Shaping an AI system’s behavior so that its outputs are consistent with human values, intentions, and safety expectations
 - *This directly relates to the AI Disasters you looked at in lab 1-3*



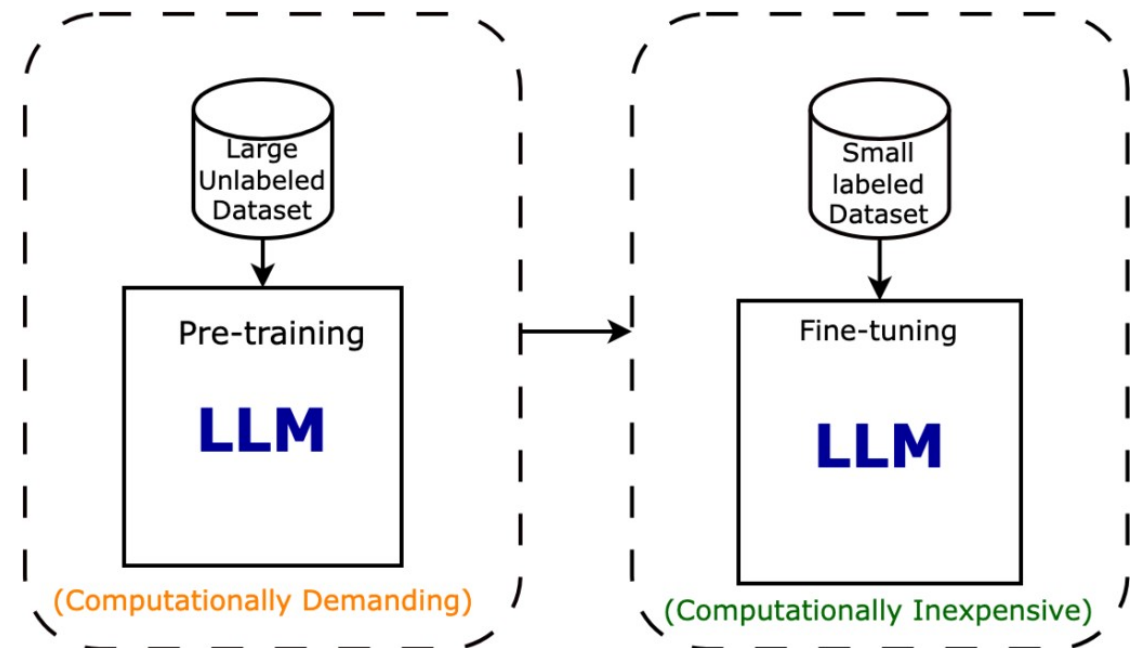
Supervised Fine-Tuning

- SFT trains the model on curated prompt–response pairs
- The model learns to
 - Respond directly to instructions
 - Format answers cleanly
 - Follow conversational patterns
- After SFT, the model
 - Follows instructions more reliably
 - Adopts assistant-style tone
 - Structures answers clearly



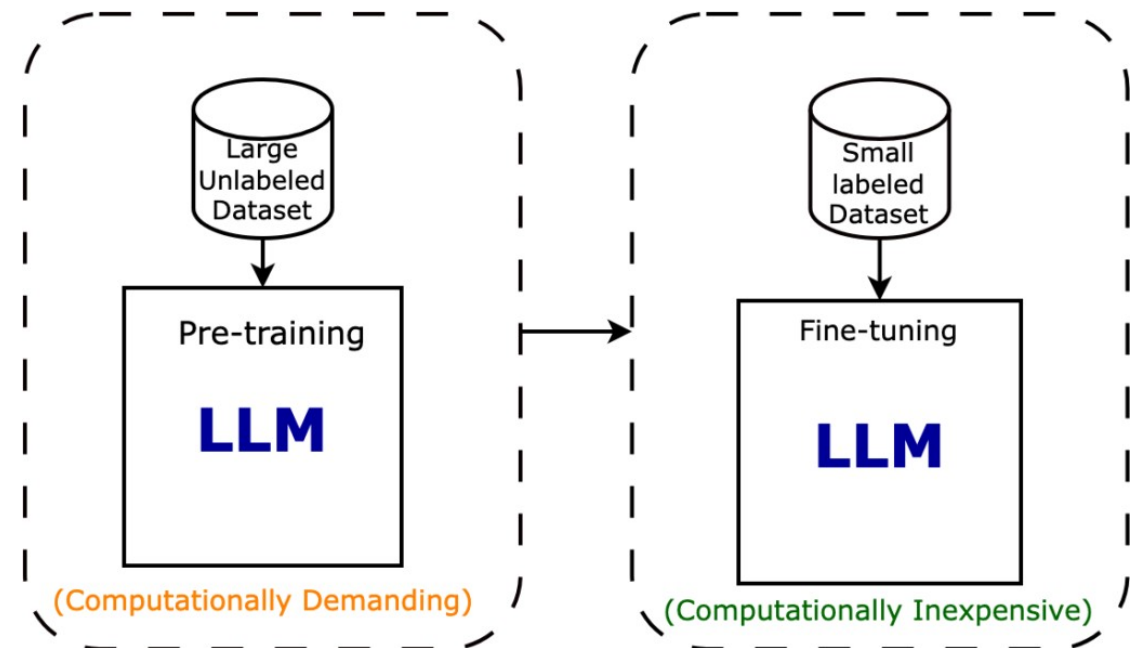
Instruction Datasets

- Relies on carefully designed training data that teaches the model how to behave like a helpful assistant
- These datasets typically contain
 - A user request (question, task, or instruction)
 - A high-quality example response from an assistant
- The examples cover many types of tasks, such as
 - Explaining concepts
 - Solving reasoning problems
 - Writing or editing text
 - Generating or debugging code
 - Summarizing documents
 - Engaging in dialogue



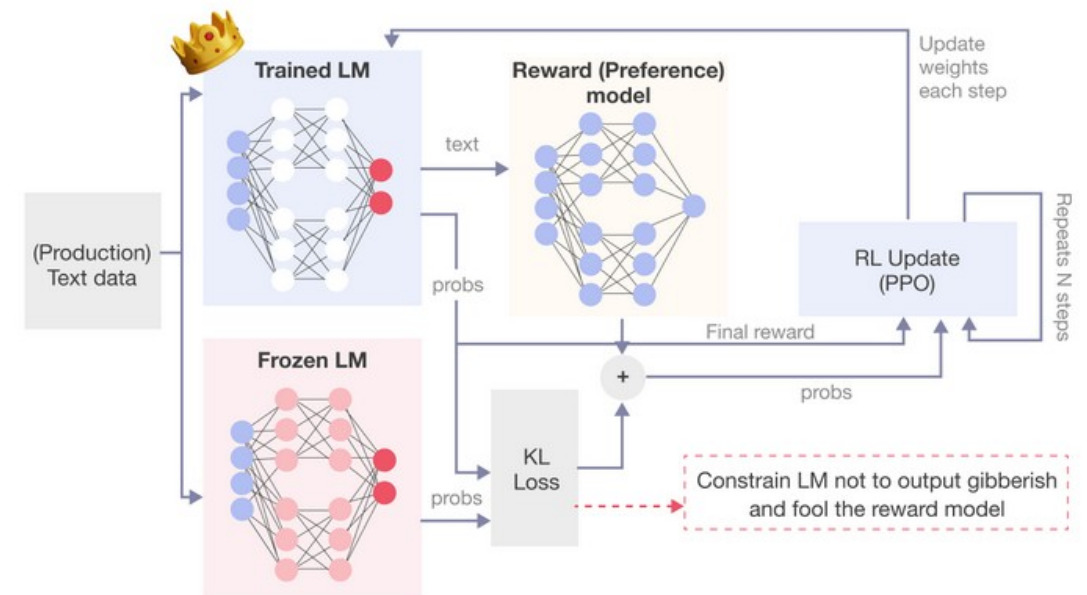
Instruction Datasets

- Instruction datasets are created using
 - Human annotators who write ideal responses
 - Synthetic data generated by stronger or earlier models
 - Publicly available instruction-following datasets
- Good instruction data
 - Covers a wide variety of tasks and domains
 - Demonstrates clear, structured reasoning
 - Includes examples of safe refusals when needed
 - Shows appropriate tone (helpful, polite, professional)
 - Models concise and well-formatted answers
- The more diverse and well-designed the instruction data is, the better the model generalizes to new tasks



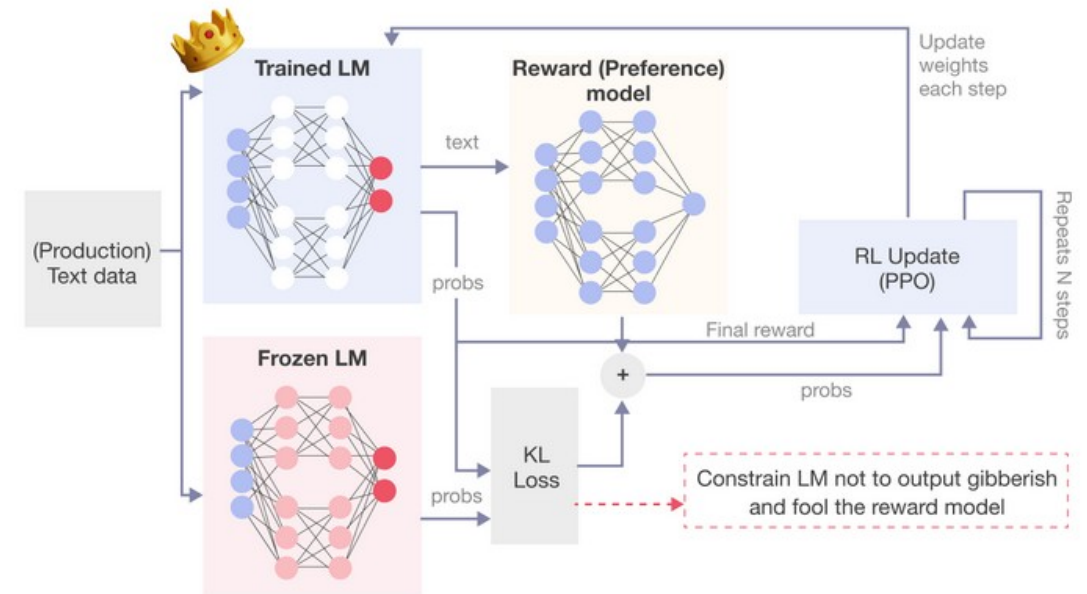
RLHF

- Reinforcement Learning from Human Feedback (RLHF)
 - Used to align LLMs with human preferences
 - Incorporates human judgments into the training process
 - Three stages
 - The model generates multiple responses to a prompt
 - Humans rank the responses from best to worst
 - The model is adjusted to produce responses that humans prefer
- Optimizes production of outputs that are aligned with user expectations



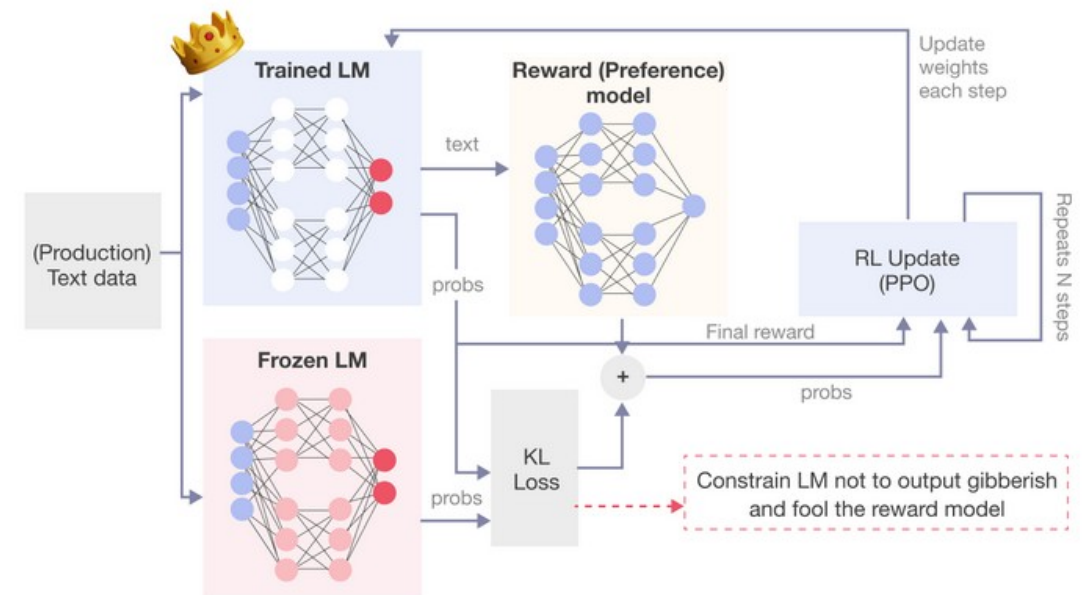
Policy

- RFHL is reinforcement learning
- In reinforcement learning, a policy is
 - A function that decides what action to take given a situation
- In the context of language models
 - The situation = the prompt
 - The action = the next token the model chooses
 - The language model itself is the policy
- RLHF adjusts the policy so that
 - Helpful responses become more likely
 - Harmful responses become less likely



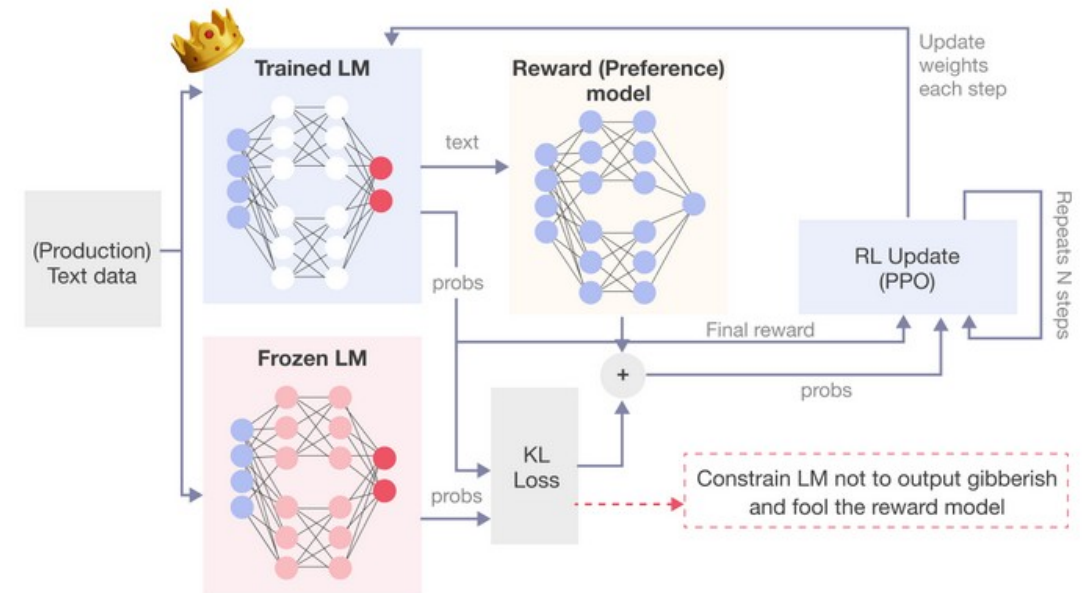
Proximal Policy Optimization

- PPO = Proximal Policy Optimization is a reinforcement learning algorithm used to
 - Carefully update the model so it improves reward without changing too drastically
- In RLHF
 - The model generates a response
 - The reward model gives it a score based on human feedback
 - PPO adjusts the model to increase probability of high-reward outputs



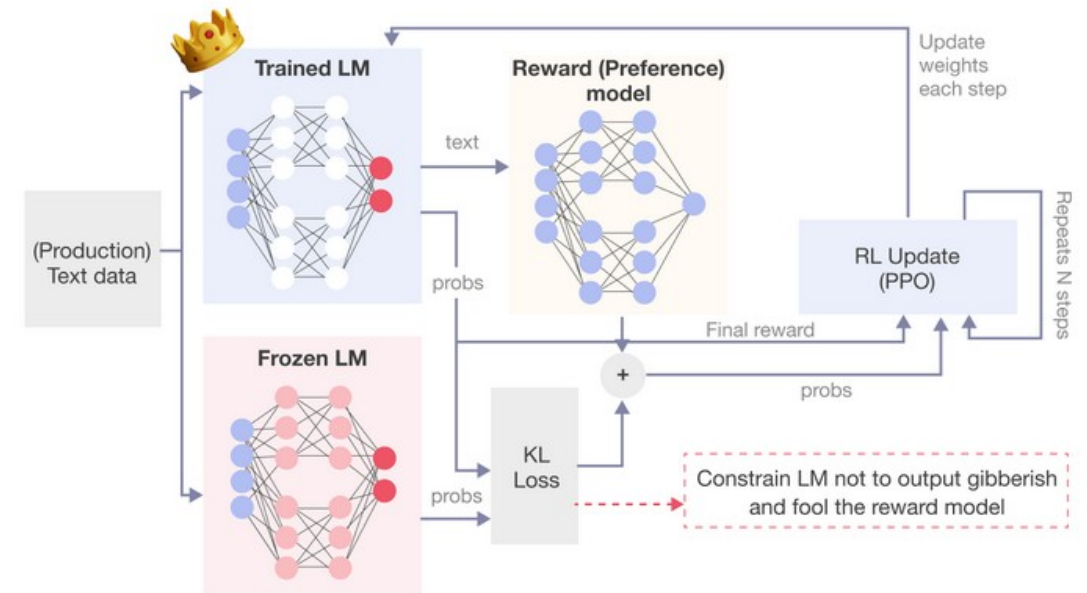
Proximal Policy Optimization

- If we modify the model only to maximize reward, problems can occur
 - The model may overfit to the reward model.
 - It may exploit weaknesses in the reward function
 - It may drift far from natural language
 - It may become unstable
- This is called reward hacking



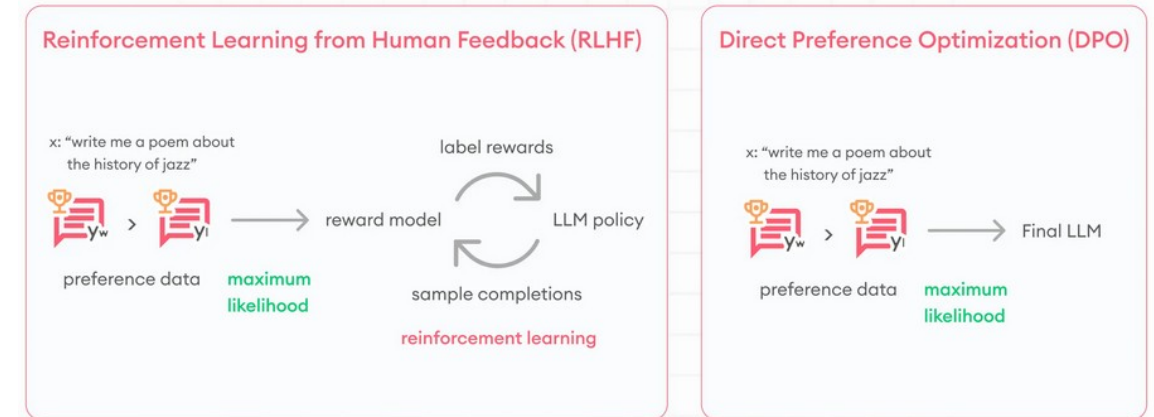
Proximal Policy Optimization

- PPO
 - Updates the model gradually and with constraints to prevent large sudden shifts
 - Ensures that LFHR improves behavior, but doesn't change the model too much at once
- PPO includes a KL penalty
 - This keeps the new policy close to the original pretrained model
 - The penalty is higher the more the answer diverges from the existing model
 - This serves to
 - Maximize reward
 - But stay close to original model distribution



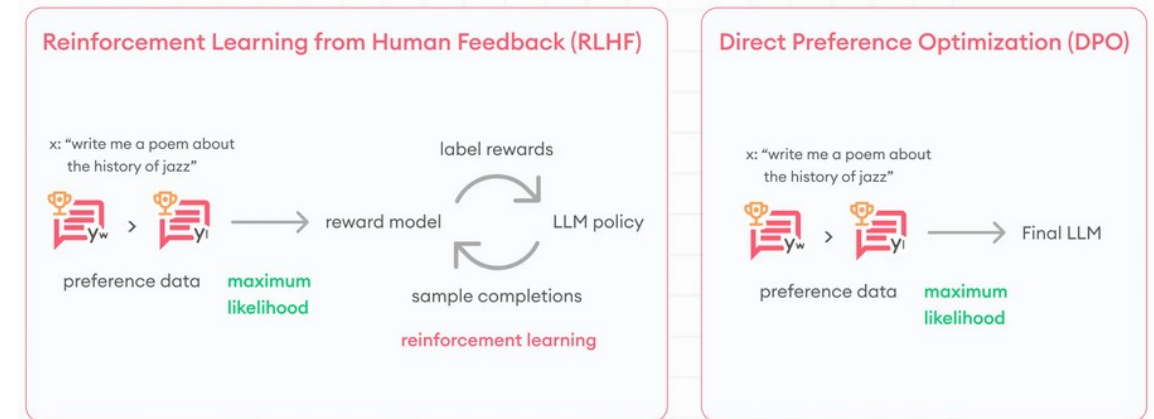
Direct Preference Optimization

- RLHF involves
 - Training a reward model from human rankings
 - Using reinforcement learning policies to optimize the model
 - Adding KL penalties to prevent instability
 - This works well, but it is
 - Complex
 - Expensive
 - Hard to tune
 - Prone to instability
- DPO was introduced to
 - Achieve similar alignment results using a simpler and more stable objective



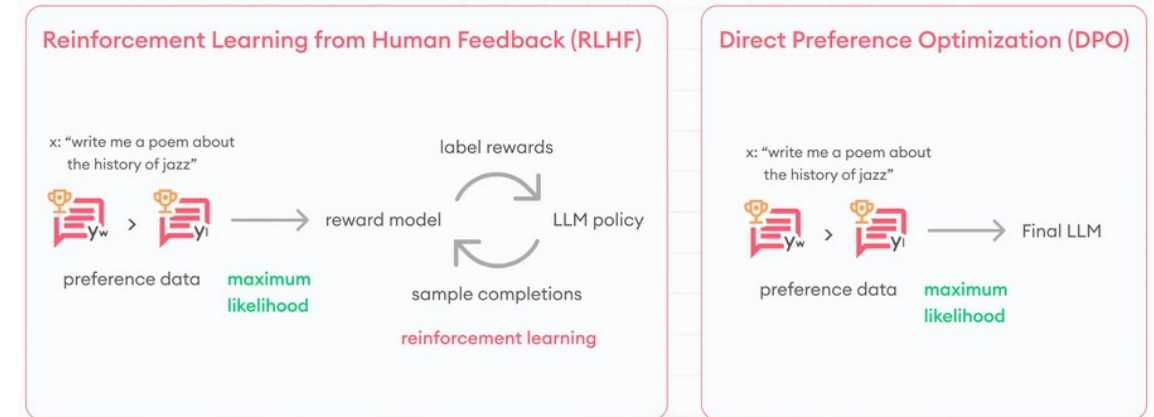
Direct Preference Optimization

- How DPO works
 - Each training example has
 - A prompt
 - Preferred responses
 - Rejected responses
 - The model is updated so that
 - The preferred response becomes more likely
 - The rejected response becomes less likely
 - And the model is constrained not to drift too far from the base model



Direct Preference Optimization

- Why DPO works
 - Directly model preference between two outputs
 - Doesn't need a separate reward function
- Relies on the fact that
 - Human preference comparisons already contain enough information
 - So that the model's probabilities can be optimized directly
- Alignment is now:
 - A preference-based likelihood problem
 - Rather than a reinforcement learning problem



LLM Size

- The size of a LLM usually means
 - The number of parameters in the neural network
 - Examples
 - GPT-2 has 1.5 billion parameters
 - GPT-3 has 175 billion parameters
 - GPT-4 has 1.7 trillion parameters
- Parameters represent
 - The model's capacity to store patterns
 - The complexity of relationships it can represent
 - More parameters = more expressive power

	Parameters	Decoder layers	Context lenght	Hidden layer size
GPT-1	117 million	12	512	768
GPT-2	1.5 billion	48	1024	1600
GPT-3	175 billion	96	2048	12288
GPT-4	1.76 trillion	120	8000*	20k*

*Data subject to confirmation by OpenAI. Last updated: July 2023.

LLM Scaling

- Model performance improves predictably when scaling occurs across three dimensions
- Model size (parameters)
 - Larger models can represent more complex functions
- Training data
 - More tokenized input training data means better statistical estimation of language patterns
- Compute
 - More training steps and more GPUs/TPUs refine the model and produce more precise internal structures
- These relationships are called the scaling laws

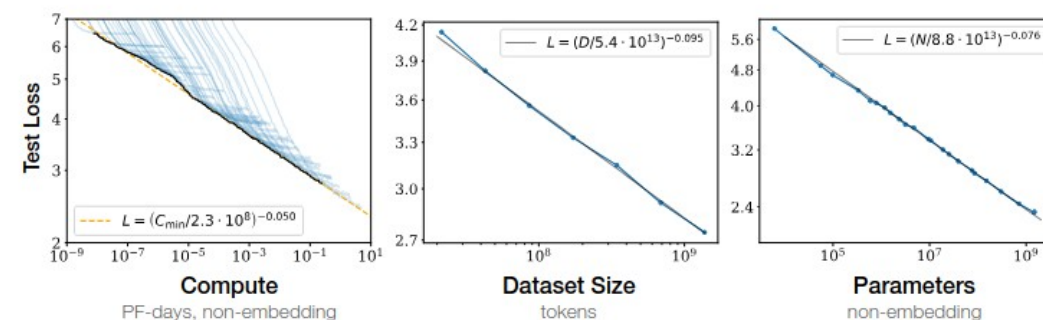


Figure 1 Language modeling performance improves smoothly as we increase the model size, dataset size, and amount of compute used for training. For optimal performance all three factors must be scaled up in tandem. Empirical performance has a power-law relationship with each individual factor when not bottlenecked by the other two.

LLM Scaling

- When models scale up they begin to exhibit
 - Better reasoning
 - Improved few-shot learning
 - More coherent long outputs
 - Better code generation
 - Stronger generalization
- Performance tends to improve smoothly as size increases

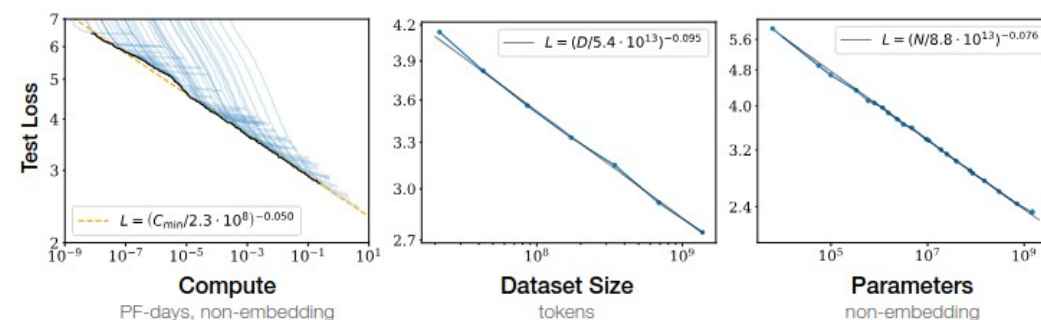


Figure 1 Language modeling performance improves smoothly as we increase the model size, dataset size, and amount of compute used for training. For optimal performance all three factors must be scaled up in tandem. Empirical performance has a power-law relationship with each individual factor when not bottlenecked by the other two.

Emergent Behavior

- Emergent behavior means
 - A capability appears suddenly once the model reaches a sufficiently large scale
 - Examples observed in large models
 - In-context learning (learning from examples in the prompt)
 - Multi-step reasoning
 - Chain-of-thought reasoning
 - Arithmetic competence
 - Complex code generation
 - Tool-use planning behavior
- Smaller models may fail completely at these tasks
 - Larger models suddenly perform well

Predictability and Surprise in Large Generative Models

FACCT '22, June 21–24, 2022, Seoul, Republic of Korea

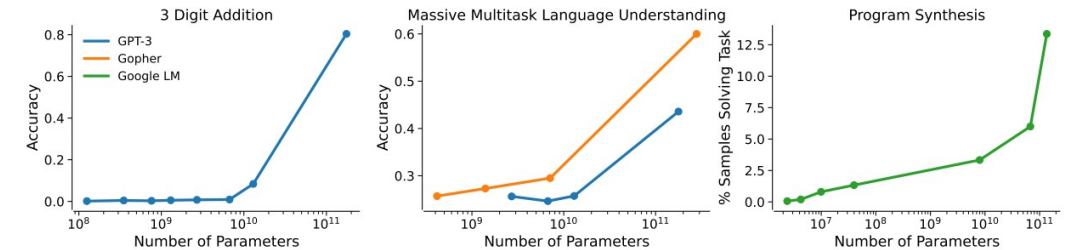


Fig. 2 Three examples of abrupt specific capability scaling described in Section 2.2, based on three different models: GPT-3 (blue), Gopher (orange), and a Google language model (green). **(Left)** 3-Digit addition with GPT-3 [11]. **(Middle)** Language understanding with GPT-3 and Gopher [62]. **(Right)** Program synthesis with Google language models [4].

Emergent Behavior

- Emergent behavior are threshold effects
- Certain reasoning abilities require
 - Enough parameters
 - Enough training data
 - Enough depth
- Below a threshold, this capability is weak and unusable
- Above a threshold, this capability becomes usable

Predictability and Surprise in Large Generative Models

FAccT '22, June 21–24, 2022, Seoul, Republic of Korea

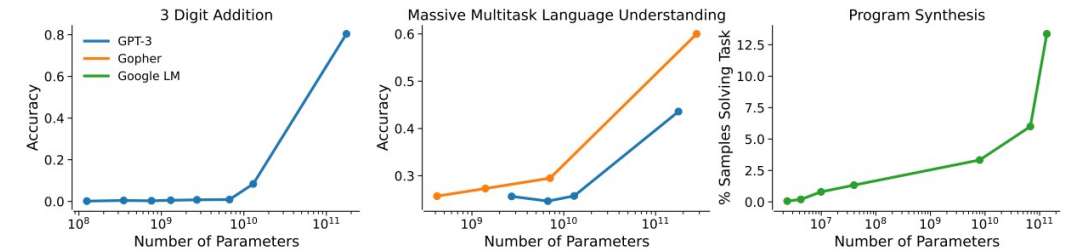


Fig. 2 Three examples of abrupt specific capability scaling described in Section 2.2, based on three different models: GPT-3 (blue), Gopher (orange), and a Google language model (green). **(Left)** 3-Digit addition with GPT-3 [11]. **(Middle)** Language understanding with GPT-3 and Gopher [62]. **(Right)** Program synthesis with Google language models [4].

Emergent Behavior

- As models grow
 - Representations become richer
 - Abstractions become more layered
 - Internal reasoning chains become deeper
- Deep stacking and larger scale allows
 - Multi-step transformations
 - More complex internal “thought-like” structures

Predictability and Surprise in Large Generative Models

FAccT '22, June 21–24, 2022, Seoul, Republic of Korea

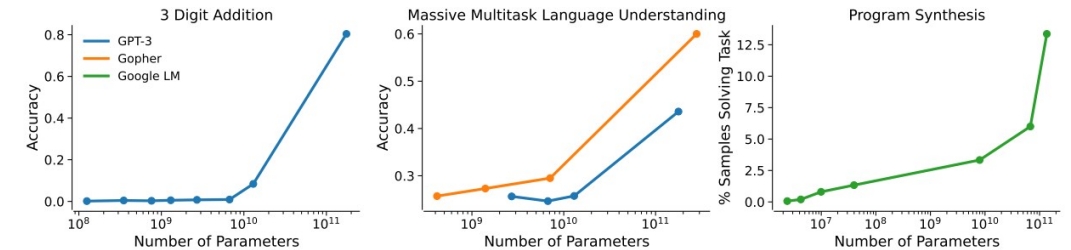
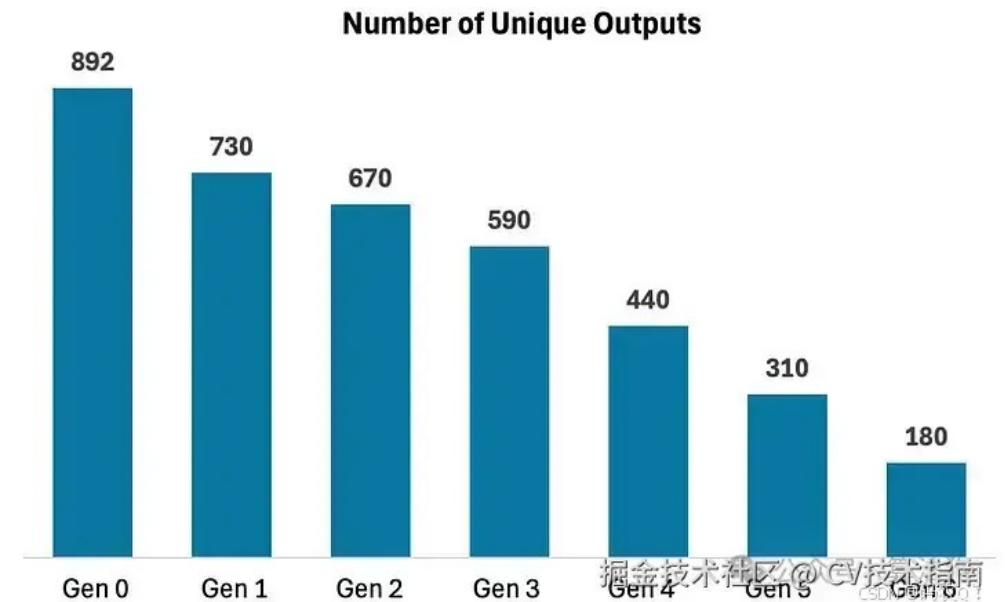


Fig. 2 Three examples of abrupt specific capability scaling described in Section 2.2, based on three different models: GPT-3 (blue), Gopher (orange), and a Google language model (green). **(Left)** 3-Digit addition with GPT-3 [11]. **(Middle)** Language understanding with GPT-3 and Gopher [62]. **(Right)** Program synthesis with Google language models [4].

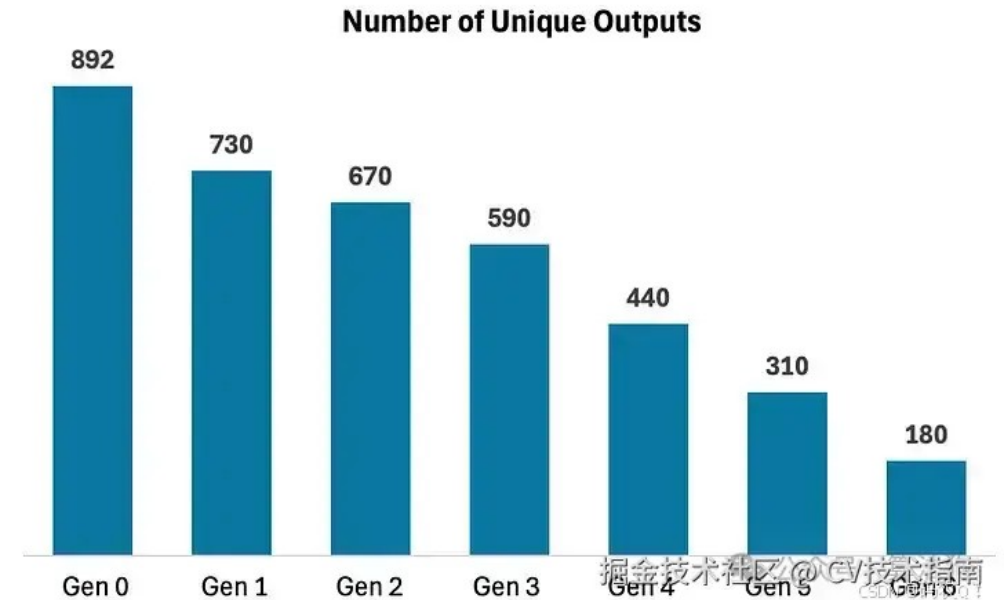
The Core Problem

- When a model generates code
 - It samples from a smoothed probability distribution
 - Rare events become even rarer
 - Common patterns become more dominant
- If a new model is trained on generated output
 - It learns the distorted smoothed distribution
 - Rare but important patterns disappear
 - Diversity shrinks
- After multiple generations
 - The distribution converges to a very small set of outputs
 - This is called model collapse



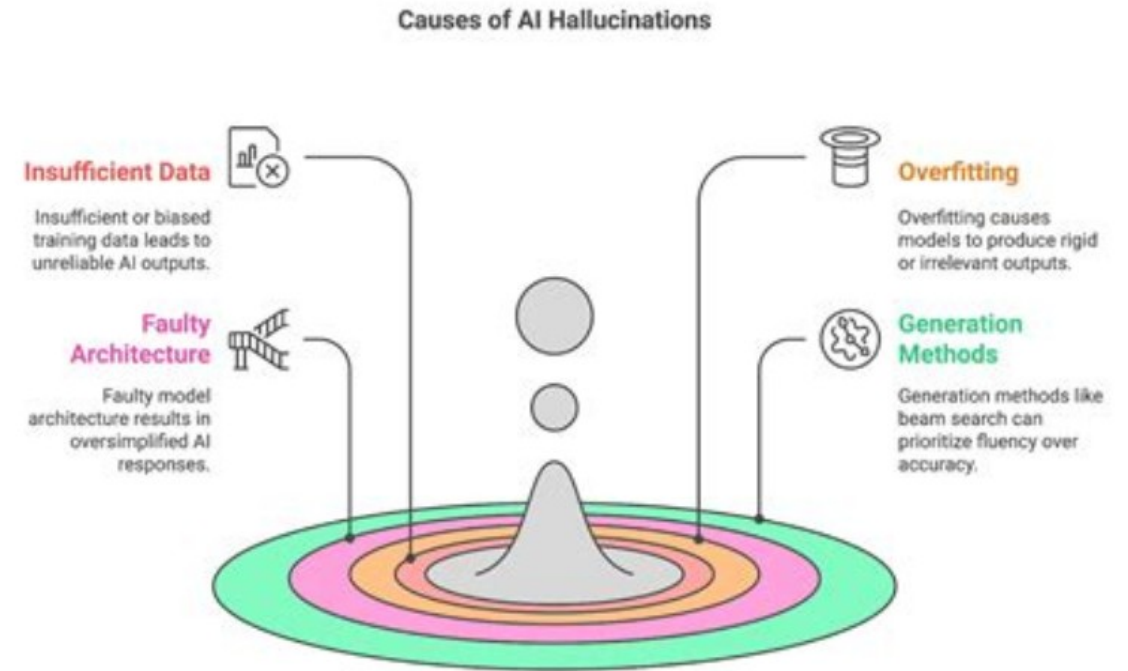
The Core Problem

- The internet is increasingly filled with
 - AI-generated articles
 - AI-generated code
 - AI-generated forum posts
 - AI-generated marketing content
- Future models may scrape
 - AI code that was generated by earlier models
 - So training data becomes contaminated with LLM generated content
- Similar in concept to genetic anomalies introduce by inbreeding in a population



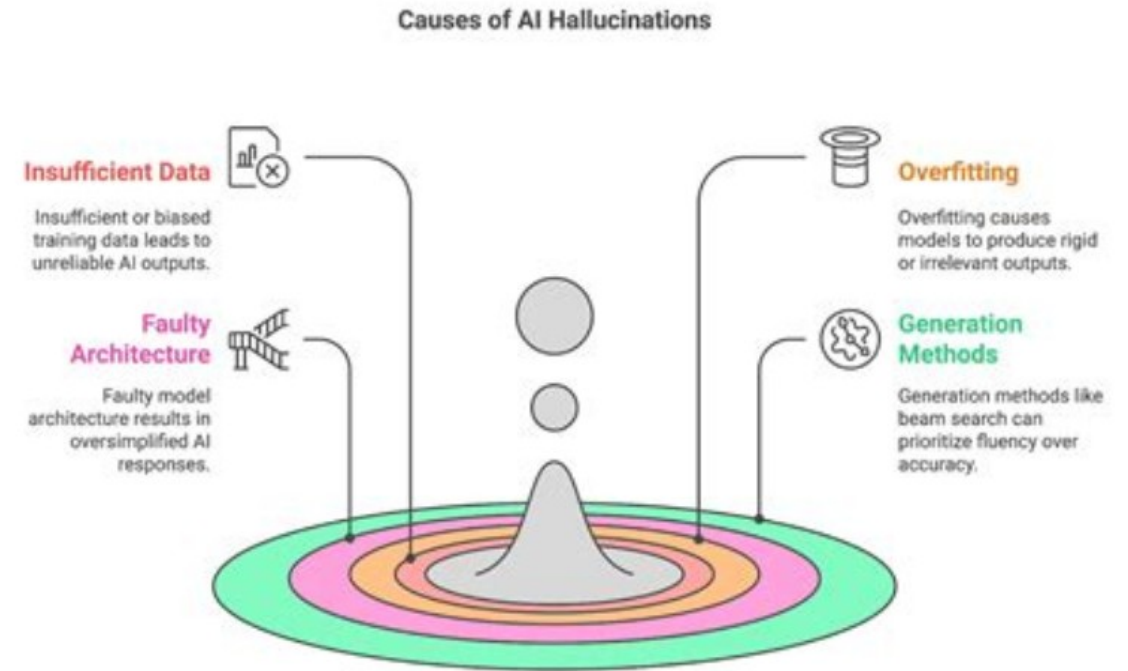
Hallucinations

- A hallucination occurs when a model generates information that is false, fabricated, or unsupported
 - Examples
 - Inventing academic citations
 - Creating fake legal cases
 - Fabricating statistics
 - Misstating historical facts
 - Generating imaginary test cases
 - Writing code that compiles but does not execute correctly
- The model does not “know” it is hallucinating



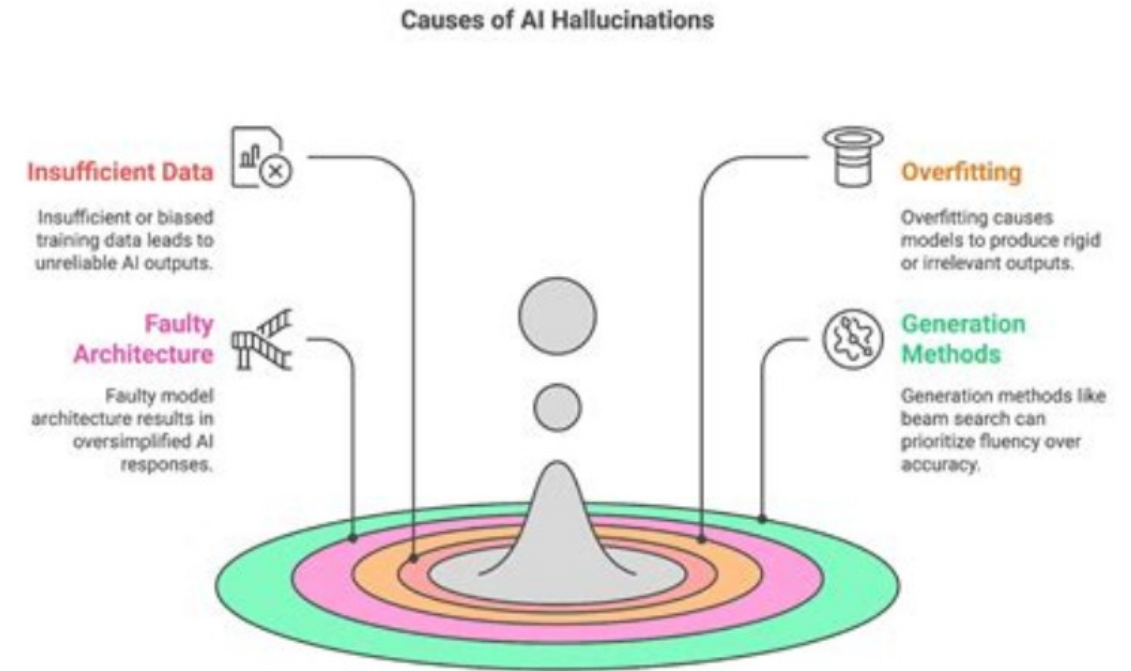
Hallucinations

- LLMs are trained to
- Predict likely next tokens
 - Not verify truth
 - They model probability, not reality
- If a plausible-sounding answer fits the language or code pattern
 - The model may produce it
 - Even if it is incorrect



Hallucinations

- Why this is dangerous
 - High confidence can mislead users
 - Hard to detect without external validation
 - Especially risky in healthcare, law, finance
- Mitigation strategies include
 - Retrieval-Augmented Generation (RAG)
 - External verification
 - Confidence scoring
 - Human oversight



Bias and Toxicity

- Source of bias
 - LLMs are trained on large internet-scale datasets, which contain
 - Social biases
 - Stereotypes
 - Historical inequities
 - Toxic language
 - Badly written code
- Models may reproduce or amplify these patterns
 - The mostly likely code to be generated is “average” code
 - Training data includes badly written code as well as expertly written code

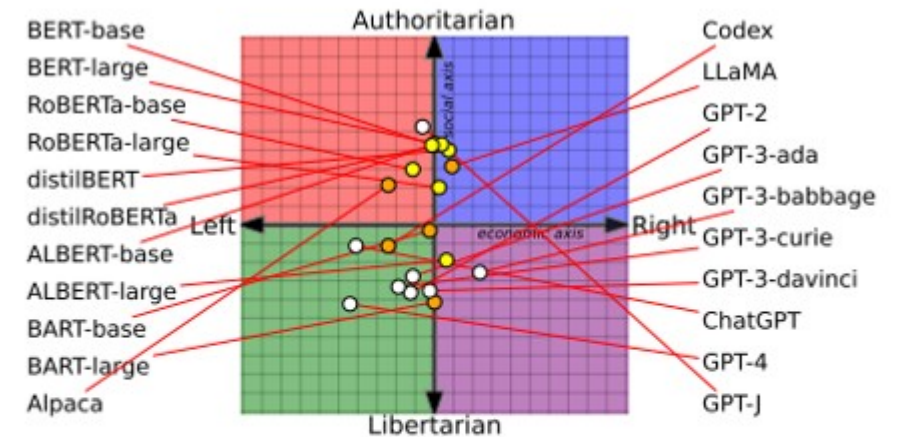


Figure 1: Measuring the political leaning of various pretrained LMs. BERT and its variants are more socially conservative compared to the GPT series. Node color denotes different model families.

Data Leakage Risks

- LMs may unintentionally
 - Reveal sensitive training data
 - Reproduce memorized private information
 - Expose confidential user input
- Risk Scenarios
 - Personal data included in training corpus
 - Enterprise documents used in fine-tuning
 - Improper isolation between users
- Mitigation includes
 - Careful dataset curation
 - Differential privacy
 - Strict data governance
 - Isolation in enterprise deployments

Common Data Leakage Vulnerabilities in LLM Applications

SecureLayer7
Time and Again, Securing you

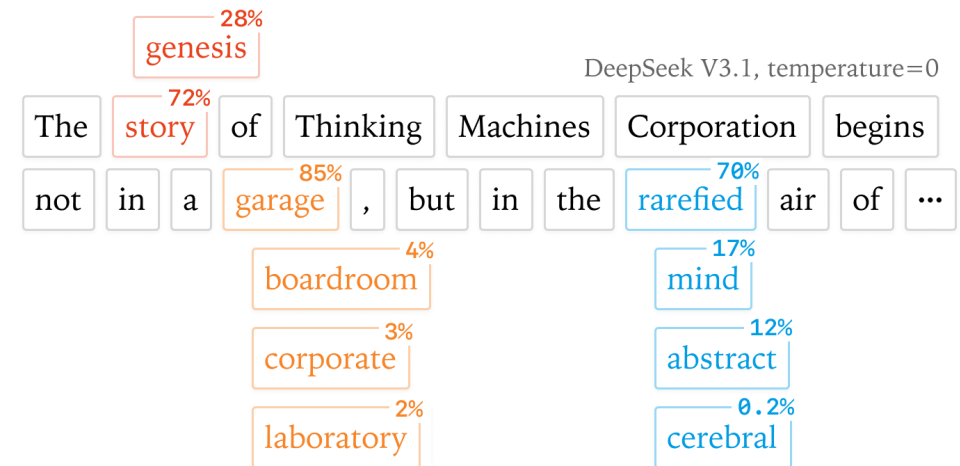
Improper
Handling of
Sensitive Data

Insufficient
Access Controls

Insecure Data
Transmission

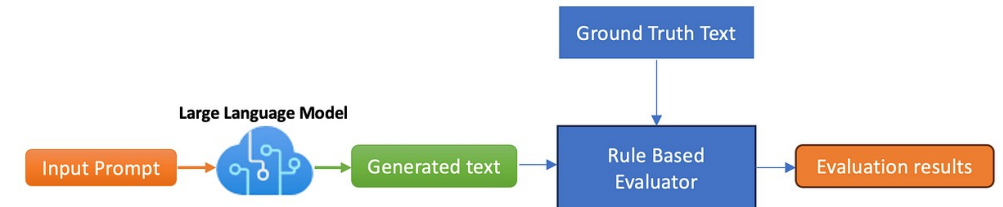
Reliability Challenges

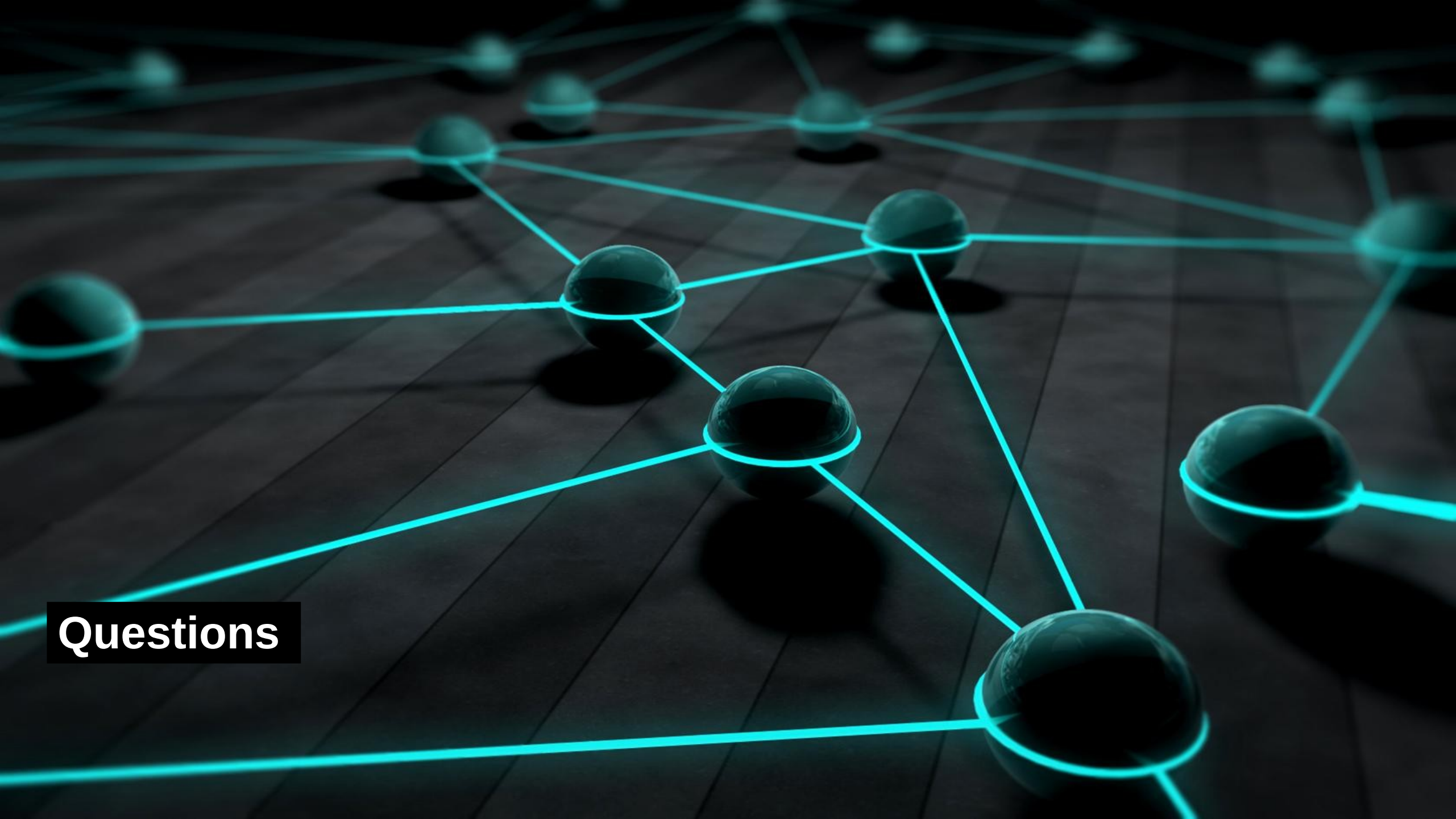
- LLMs can produce different answers to the same question because of
 - Probabilistic sampling
 - Sensitivity to phrasing
 - Context effects
- Non-Determinism
 - Even slight prompt changes can lead to
 - Different reasoning paths
 - Different conclusions
- This makes
 - Testing harder
 - Compliance auditing complex
 - Reproducibility challenging



Lack of Ground Truth Awareness

- LLMs do not
 - Know when they are uncertain
 - Explicitly track factual grounding
 - Understand real-world consequences
- Reliability often requires
 - Guardrails
 - External tools
 - Structured pipelines





Questions